



## Scotiabank: Red Means Go

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QUEEN'S HEDGE FUND

EST. 2024

Scotiabank 





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QUEEN'S HEDGE FUND

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**Recommendation:** Buy

**Current price:** \$94.21 (10/10/2025)

**Target Price:** \$105.71

**Upside:** 12.21%

## Industry & Company Overview

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### Section I

Company and Industry Overview

# Scotiabank (NYSE: BNS)

Business Background



- **Global Presence and Legacy**  
Scotiabank is one of Canada’s largest financial institutions and a leading bank in the Americas, with about \$1.4 trillion in assets. Founded in 1832 and headquartered in Toronto, it has built a global reputation for stability, innovation, and trust over nearly two centuries.
- **Diversified Business Model**  
Serving over 25 million customers in more than 30 countries, Scotiabank operates across personal and commercial banking, wealth management, corporate and investment banking, and capital markets. Its integrated network of digital platforms and advisory teams supports clients worldwide.
- **Strategic Focus and Commitment**  
Guided by its purpose, “*For every future,*” Scotiabank aims for sustainable, long-term growth while helping individuals and businesses achieve financial success. The bank continues to invest in digital transformation, inclusion, and environmental responsibility, with strong growth in Latin America and the Caribbean.

Culture

Scotiabank’s mission is to be its clients’ most trusted financial partner by delivering sustainable, profitable growth. Its culture emphasizes teamwork, inclusion, and integrity, built around four strategic pillars:

- Grow and scale in priority markets
- Earn primary client relationships
- Make it easy to do business
- Win as one team

With over **90,000** employees worldwide, Scotiabank fosters a collaborative and performance-driven environment rooted in accountability and respect.

Executives



Scott Thompson  
(President and CEO)



Raj Viswanathan  
(Group Head and CFO)



Anique Asher (Chief Strategy and Operating Officer)

NYSE Market Snapshot (Nov 2025)

- Market Cap: \$82.6 B
- P/E Ratio: 17.99
- P/B Ratio: 1.54
- EPS: \$5.37
- Dividend: \$1.10 CAD (Quarterly)
- Yield: 4.76 %
- Beta: 1.18
- 52-Week Range: \$44.09 – \$66.70

Corporate & Revenue Structure

| Segment                  | Focus                                             |
|--------------------------|---------------------------------------------------|
| Canadian Banking         | Retail, small-business and commercial banking     |
| International Banking    | Core presence in Mexico, Chile, Peru and Colombia |
| Global Wealth Management | Financial planning, asset management, insurance   |
| Global Banking & Markets | Corporate lending, investment banking, trading    |

# Investment Thesis

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## Section II

# Thesis 1: Robust Capital Position and Strong Banking Sector

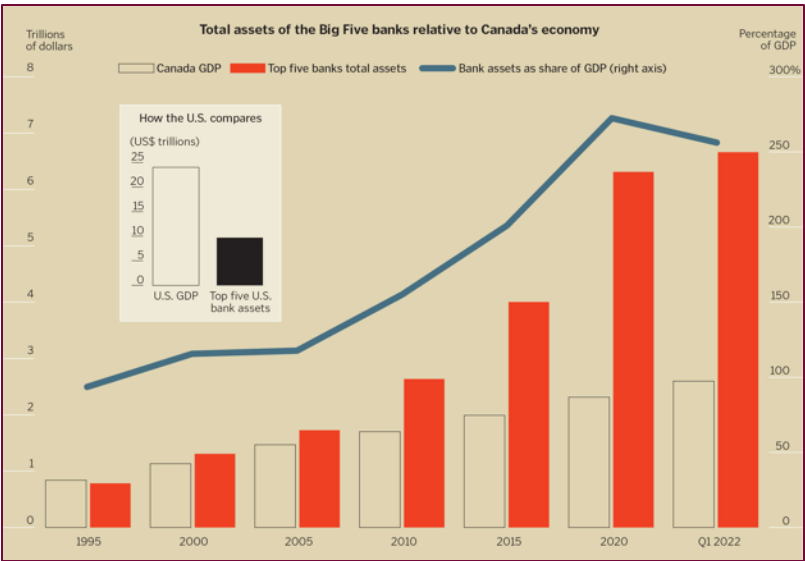
## Capital Position

- Amid strong macroeconomic headwinds Scotiabank has positioned itself with **reliable capital ratios** to prepare for hardships and unpredictable situations in Canada and the US
- A key measure of a bank's financial health is the **Common Equity Tier 1 (CET1) capital ratio**, which is defined as a measure of a bank's core equity capital against its risk-weighted assets
- In Canada, the minimum Common Equity Tier 1 (CET1) capital ratio is 7.0% plus any applicable capital conservation buffer (CCB) and Domestic Stability Buffer (DSB). The target for Canada's **largest banks is 11.5%**, which includes a 4.5% Pillar 1 minimum, a 2.5% CCB, a 1.0% D-SIB surcharge, and a 3.5% DSB
- As of Q3 2025, **Scotiabank has a ratio of 13.3%** which is similar to other ratios among the Big 5 banks in Canada
- This is a strong indicator of successful positioning within the banking sector and a safeguard against issues in the economy that could negatively affect the firm and its share price

Sources: Canadian Bankers Association, The Globe and Mail

## Banking Sector in Canada

- With the continuous growth of the banking sector in Canada, Scotiabank is among the leaders of this charge
- Continuous and predictable quarterly earnings make for a strong investment opportunity, but also contributes to the overall growth of the financial sector
- From 2023-2024, banks in Canada contributed **\$70 billion and \$74 billion to overall GDP** respectively (3.5% and 3.7%), showing growth and the importance of banks to Canada's economy
- As well, Big 5 bank **AUM has grown to almost \$7 trillion**, further establishing the strength and size of the industry, the reliance Canadians have on the Big 5, and the opportunity for further revenues and profits



| SPOTLIGHT ON Q3 EARNINGS OF CANADA'S BIG FIVE BANKS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                            |                         |                            |                                 |                                          |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|-------------------------|----------------------------|---------------------------------|------------------------------------------|
| Ticker & Name                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | BNS<br>Bank of Nova Scotia | BMO<br>Bank of Montreal | RY<br>Royal Bank of Canada | TD<br>The Toronto-Dominion Bank | CM<br>Canadian Imperial Bank of Commerce |
| Earnings Date                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 08/26ET<br>Pre-Mkt         | 08/26ET<br>Pre-Mkt      | 08/27ET<br>Pre-Mkt         | 08/28ET<br>Pre-Mkt              | 08/28ET<br>Pre-Mkt                       |
| Dividend Yield TTM                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 5.37%                      | 4.01%                   | 3.11%                      | 4.05%                           | 3.76%                                    |
| Revenue (YoY)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | C\$9.32B<br>11.40%         | C\$8.90B<br>8.70%       | C\$16.11B<br>9.70%         | C\$13.78B<br>-2.80%             | C\$7.03B<br>6.50%                        |
| Adj. EPS (YoY)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | C\$1.73<br>23.00%          | C\$2.96<br>10.80%       | C\$3.25<br>1.50%           | C\$2.05<br>2.30%                | C\$2.00<br>4.60%                         |
| NIM (Net Interest Margin)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 2.26%                      | 1.65%                   | 1.60%                      | 1.79%                           | 1.53%                                    |
| ROE (Return on Equity)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 11.44%                     | 10.94%                  | 15.09%                     | 12.30%                          | 13.26%                                   |
| CET1 Ratio (Common Equity Tier 1 Ratio)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 13.13%                     | 13.43%                  | 13.28%                     | 14.56%                          | 13.47%                                   |
| PCLs (Provisions for Credit Losses)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | C\$1.17B                   | C\$0.93B                | C\$1.09B                   | C\$1.26B                        | C\$0.58B                                 |
| Source: Bloomberg    Currency: CAD    Chart Date: August 25th, 2025                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                            |                         |                            |                                 |                                          |
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# Catalysts

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## Section III

Catalysts

# Strategic Refocus on Core Markets

## Back-to-Core Strategy

- Scotiabank’s ongoing **strategic realignment toward its key geographies**.
- Canada, Mexico, Chile, Peru, and Colombia = marks a decisive shift from the overly diversified “rest of Latin America” strategy of the past decade.
- The bank is streamlining operations, divesting non-core businesses, and reallocating capital toward markets where it maintains **scale and competitive advantage**.

Reduced Risk Exposure

Re-rate Valuation Multiples

Stronger Earnings Visibility

~ *Catalyst Timing*: 6–18 months

## Margin Recovery and Rate Tailwinds

**C\$200–250M**    ~    **10 bps NIM**

- Central banks in Latin America begin measured rate cuts, improving credit demand while maintaining wide spreads.
- The Canadian mortgage portfolio reprices at higher rates, supporting yield expansion.
- Deposit mix optimization and digital adoption reduce funding costs.

## Cost Efficiency and Digital Transformation

Scotiabank’s “Ignite” cost transformation program is expected to deliver **C\$700–900M** in annual savings by FY2026 through workforce optimization, AI-driven automation, and digital migration of retail clients.

- The bank’s push toward digital-first customer engagement is already yielding results:

60%+ of transactions now occur through digital channels

Streamlined branch footprint and enhanced self-serve capabilities will drive further scalability.

Operating leverage is improving, with efficiency ratio guidance moving toward 50% by FY2026 (vs. 54% in FY2023)

With a **CET1 ratio near 12.5%**, above the regulatory minimum, Scotiabank has ample room for capital returns once near-term restructuring and investment spending moderate.

- Sustainable dividend growth, appealing to income-focused investors (current yield ~6%).
- Potential share buybacks resuming in FY2025 once one-time charges subside.
- Regulatory clarity from OSFI supporting stable capital distribution policies. **12–18 months**

As visibility improves, the stock could re-rate toward its historical **P/B range (1.2–1.4x)** versus its current discount near **0.9x**, offering **25–40% upside potential**.

## Valuation Reset: Market Sentiment Shift

- Improved clarity from **quarterly updates** on LATAM portfolio performance. Analyst upgrades as NIM, ROE, and cost ratios trend positively.
- Potential inclusion in **ESG or dividend-focused fund rotations** due to stable yield and governance enhancements.

## Risks & Mitigants

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### Section IV

Provisions & Regions: An Analysis

Macroeconomic and Credit Risk Exposure

- Scotiabank’s **significant presence** in emerging markets, particularly across the Pacific Alliance countries (Mexico, Chile, Peru, and Colombia), exposes it to macroeconomic volatility
- Economic slowdowns, currency depreciation, or political instability** could weaken loan demand, increase credit losses, and pressure earnings

MITIGANT

The bank’s international diversification provides earnings resilience across cycles, weakness in one market is often offset by strength in another.

Scotiabank maintains robust risk management frameworks, stress-testing portfolios quarterly and actively hedging currency exposure.

Loan books in these regions are predominantly secured retail and commercial lending, with conservative loan-to-value ratios.

Total ACLS (\$MM) and ACL Ratio + Q/Q ACL Movement

- Performing allowances were ~ **\$5.2 billion**, up to **\$77 million** due to credit quality migration impacting commercial portfolios
- Impaired allowances increased by **\$33 million Q/Q** due to higher provisions in International Banking --> impact on foreign currencies

Interest Rate & Margin Compression Risk

- With **central banks in Canada and Latin America expected to begin rate cuts in 2025**, Scotiabank could face net interest margin (NIM) compression, particularly if deposit repricing outpaces loan repricing or if competition intensifies in core lending markets.

MITIGANT

The bank’s diversified interest rate exposure across geographies and product types reduces sensitivity to any single rate environment.

Growth in non-interest income segments, wealth management, capital markets, and insurance, provides a hedge against NIM volatility.

Ongoing balance sheet optimization and deposit mix management (shift toward lower-cost retail deposits) help stabilize margins.

7,276

Q2/25

7,369

Q3/25  
Pre FX & Other

## Financials & Valuation

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### Section V

# Projections

| The Bank of Nova Scotia                                              |                |                |                |                | Projected      |                |                |                |                |
|----------------------------------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| *in millions                                                         | 2021A          | 2022A          | 2023A          | 2024A          | 2025E          | 2026E          | 2027E          | 2028E          | 2029E          |
| <b>Interest Income</b>                                               |                |                |                |                |                |                |                |                |                |
| Loans                                                                | 23,159         | 29,390         | 45,043         | 47,811         | 49,723         | 54,696         | 60,165         | 66,182         | 72,800         |
| Securities                                                           | 1,467          | 2,877          | 6,833          | 9,160          | 9,618          | 10,580         | 11,638         | 12,802         | 14,082         |
| Securities Purchased Under Resale Agreements and Securities Borrowed | 178            | 459            | 1,478          | 1,602          | 1,762          | 1,868          | 1,980          | 2,099          | 2,225          |
| Deposits with Financial Institutions                                 | 182            | 832            | 3,470          | 3,086          | 3,240          | 3,564          | 3,849          | 4,157          | 4,490          |
| <b>Total</b>                                                         | <b>24,986</b>  | <b>33,558</b>  | <b>56,824</b>  | <b>61,659</b>  | <b>64,344</b>  | <b>70,708</b>  | <b>77,633</b>  | <b>85,240</b>  | <b>93,597</b>  |
| Revenue Growth %                                                     |                | 34.3%          | 69.3%          | 8.5%           | 4.4%           | 9.9%           | 9.8%           | 9.8%           | 9.8%           |
| <b>Non-interest Income</b>                                           |                |                |                |                |                |                |                |                |                |
| Card Revenues                                                        | 749            | 779            | 778            | 869            | 999            | 1,149          | 1,322          | 1,520          | 1,748          |
| Banking Service Fees                                                 | 1,598          | 1,770          | 1,879          | 1,955          | 1,994          | 2,034          | 2,075          | 2,116          | 2,158          |
| Credit Fees                                                          | 1,485          | 1,647          | 1,861          | 1,585          | 1,617          | 1,649          | 1,682          | 1,716          | 1,750          |
| Mutual Funds                                                         | 2,394          | 2,269          | 2,127          | 2,282          | 2,328          | 2,374          | 2,422          | 2,470          | 2,520          |
| Brokerage Fees                                                       | 1,039          | 1,125          | 1,117          | 1,251          | 1,276          | 1,302          | 1,328          | 1,354          | 1,381          |
| Investment Management and Trust                                      | 994            | 999            | 1,029          | 1,096          | 1,118          | 1,140          | 1,163          | 1,186          | 1,210          |
| Underwriting and Advisory Fees                                       | 724            | 543            | 554            | 702            | 716            | 730            | 745            | 760            | 775            |
| Non-trading Foreign Exchange                                         | 787            | 878            | 911            | 930            | 949            | 968            | 987            | 1,007          | 1,027          |
| Trading Revenues                                                     | 2,033          | 1,791          | 1,580          | 1,634          | 1,667          | 1,700          | 1,734          | 1,769          | 1,804          |
| Net Gain on Sale of Investment Securities                            | 419            | 74             | 129            | 48             | 49             | 50             | 51             | 52             | 53             |
| Net Income from Investments in Associated Corporations               | 339            | 268            | 153            | 198            | 202            | 206            | 210            | 214            | 219            |
| Insurance Service Results                                            | 398            | 433            | 413            | 470            | 479            | 489            | 499            | 509            | 519            |
| Other Fees and Commissions                                           | 677            | 650            | 1,073          | 1,247          | 1,272          | 1,297          | 1,323          | 1,350          | 1,377          |
| Other                                                                | 655            | 75             | 348            | 151            | 154            | 157            | 160            | 163            | 167            |
| <b>Total</b>                                                         | <b>14,291</b>  | <b>13,301</b>  | <b>13,952</b>  | <b>14,418</b>  | <b>14,819</b>  | <b>15,246</b>  | <b>15,700</b>  | <b>16,186</b>  | <b>16,707</b>  |
| Interest Income Growth %                                             |                | -6.9%          | 4.9%           | 3.3%           | 2.8%           | 2.9%           | 3.0%           | 3.1%           | 3.2%           |
| <b>Total Interest Income and Non-interest Income</b>                 | <b>39,277</b>  | <b>46,859</b>  | <b>70,776</b>  | <b>76,077</b>  | <b>79,163</b>  | <b>85,953</b>  | <b>93,333</b>  | <b>101,425</b> | <b>110,304</b> |
| <b>Provision for Credit Losses</b>                                   |                |                |                |                |                |                |                |                |                |
| Credit losses                                                        | (1,808)        | (1,382)        | (3,422)        | (4,051)        | (4,375)        | (4,725)        | (5,103)        | (5,511)        | (5,952)        |
| <b>Total Provision for Credit Losses</b>                             | <b>(1,808)</b> | <b>(1,382)</b> | <b>(3,422)</b> | <b>(4,051)</b> | <b>(4,375)</b> | <b>(4,725)</b> | <b>(5,103)</b> | <b>(5,511)</b> | <b>(5,952)</b> |

## Projections Cont.

|                                                  |                 |                 |                 |                 |                 |                 |                 |                 |                 |
|--------------------------------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|
| <b>COGS (Interest Expense)</b>                   |                 |                 |                 |                 |                 |                 |                 |                 |                 |
| Deposits                                         | (6,465)         | (12,794)        | (35,650)        | (39,480)        | (40,270)        | (41,075)        | (41,896)        | (42,734)        | (43,589)        |
| Subordinated Debentures                          | (180)           | (270)           | (471)           | (490)           | (564)           | (648)           | (745)           | (857)           | (986)           |
| Other                                            | (1,380)         | (2,379)         | (2,441)         | (2,437)         | (2,559)         | (2,687)         | (2,821)         | (2,962)         | (3,110)         |
| <b>Total COGS</b>                                | <b>(8,025)</b>  | <b>(15,443)</b> | <b>(38,562)</b> | <b>(42,407)</b> | <b>(43,392)</b> | <b>(44,410)</b> | <b>(45,463)</b> | <b>(46,554)</b> | <b>(47,685)</b> |
| <b>Total Revenue</b>                             | <b>29,444</b>   | <b>30,034</b>   | <b>28,792</b>   | <b>29,619</b>   | <b>31,396</b>   | <b>36,819</b>   | <b>42,767</b>   | <b>49,360</b>   | <b>56,666</b>   |
| <i>Total Revenue Margin</i>                      | 75.0%           | 64.1%           | 40.7%           | 38.9%           | 39.7%           | 42.8%           | 45.8%           | 48.7%           | 51.4%           |
| <b>Operating Expenses (Non-Interest Expense)</b> |                 |                 |                 |                 |                 |                 |                 |                 |                 |
| Salaries and Employee Benefits                   | (8,541)         | (8,836)         | (9,590)         | (9,855)         | (10,052)        | (10,454)        | (10,872)        | (11,307)        | (11,873)        |
| Premises and Technology                          | (2,351)         | (2,424)         | (2,657)         | (2,896)         | (3,186)         | (3,504)         | (3,679)         | (3,863)         | (3,941)         |
| Communications                                   | (369)           | (361)           | (395)           | (381)           | (389)           | (447)           | (492)           | (541)           | (546)           |
| Advertising and Business Development             | (404)           | (480)           | (576)           | (614)           | (657)           | (664)           | (670)           | (677)           | (731)           |
| Professional                                     | (789)           | (826)           | (779)           | (793)           | (801)           | (809)           | (817)           | (825)           | (833)           |
| Business and Capital Taxes                       | (511)           | (541)           | (634)           | (682)           | (716)           | (773)           | (835)           | (902)           | (974)           |
| Other                                            | (2,124)         | (2,103)         | (2,670)         | (2,714)         | (2,850)         | (3,078)         | (3,324)         | (3,590)         | (3,877)         |
| <b>Total Operating Expenses</b>                  | <b>(15,089)</b> | <b>(15,571)</b> | <b>(17,301)</b> | <b>(17,935)</b> | <b>(18,650)</b> | <b>(19,729)</b> | <b>(20,690)</b> | <b>(21,705)</b> | <b>(22,775)</b> |
| <b>Adjusted EBITDA</b>                           | <b>14,355</b>   | <b>14,463</b>   | <b>11,491</b>   | <b>11,684</b>   | <b>12,746</b>   | <b>17,090</b>   | <b>22,077</b>   | <b>27,655</b>   | <b>33,891</b>   |
| <i>Adjusted EBITDA Margin</i>                    | 57.5%           | 43.1%           | 20.2%           | 18.9%           | 19.8%           | 24.2%           | 28.4%           | 32.4%           | 36.2%           |

### Summary

- Revenue growth through interest income and non-interest income shows promising expansion through actual financial performance and projections
- We expect this to continue through 2029, with revenue growth in interest income staying consistent around **9.8%** after 2025
- This is a more conservative approach but still ensures positive gains for an investment opportunity
- From 2025 to 2029, total interest and non-interest income grow from **~\$36 billion** to **~\$110 billion**, further representing the opportunity for expansion given strong leadership and a forward-looking fiscal approach
- Adjusted EBITDA:** grows from **\$14.36 billion** to **\$33.89 billion** ~ that's a CAGR of **~13%**, showing steady growth and impact from financial results
- Adjusted EBITDA margin:** slows down slightly in 2024, only to rebound significantly continuing into 2029, going from **18.9%** and finishing at **36.2%**
- COGS & operating expenses:** are growing along with revenues but separate leading into 2026 which leads to a meaningful revenue margin, ultimately representing the financial upside at Scotiabank
- DCF model:** this shows adequate FCFF discounted by a factor of **7%** and leading to an implied share price of **\$105.75**, presenting a solid buy opportunity with strong returns for QHF